

Funding & Capital Plan

UK funding routes — what's realistic and what isn't

1. What it will likely cost to get to first revenue ⚠️ (framework — needs real cost assumptions)

Rough categories to budget, not fabricated totals: - **UK company formation & legal** — a few thousand pounds in solicitor fees for a properly drafted agreement (JV or agency — see Folder 07); not a place to cut corners. - **Your own working capital** during the pre-revenue ramp — however many months you need to cover personally before the UK arm is cash-flow positive. - **Sales & marketing** — trade show stand costs (InstallerSHOW/Solar & Storage Live/Futurebuild — get exhibitor quotes directly), any paid data lists, localisation costs for a genuinely UK-operational SalesOps CRM presence. - **Localisation/product costs** — UK-specific requirements (MCS-compliant proposal templates, GBP invoicing/VAT handling, UK data protection compliance) — confirm with RRUP how much of this is already done (Folder 13, Question 7) rather than assuming from scratch.

2. Funding routes actually available ✅

Route	Detail	Fit for this deal
UK Start Up Loan (British Business Bank / gov.uk)	£500–£25,000 per person (unsecured personal loan), up to £100,000 total if up to 4 partners/directors each apply; fixed interest 7.5% (rose from 6% in April 2026); 1–5 year repayment; no application fee; includes free business-plan support and 12 months free mentoring; eligible even if you've traded up to 60 months.	✅ Directly accessible now, doesn't require RRUP's involvement, and the free mentoring/business-plan support is genuinely useful for a first-time UK operator. Good first step regardless of how Folder 13's questions resolve.
SEIS/EIS investment	⚠️ Likely doesn't work for a JV structure as currently understood. A foreign parent (RRUP) does not qualify the UK entity for SEIS/EIS merely by owning a UK subsidiary/JV — the <i>parent itself</i> would need its own UK permanent establishment, which it doesn't have. A genuine structural obstacle, not a paperwork detail.	
Innovate UK Smart Grants	UK-registered company requirement is straightforward once the entity exists; however, Smart Grants were paused from January 2025 pending a new support pilot. Not reliable to plan around right now.	

Route	Detail	Fit for this deal
Alternative/revenue-based lenders, bank business loans	Standard options once the UK entity has trading history — not a month-one solution, but worth lining up for month 6–12 growth capital once there's UK revenue and traction to show.	
RRUP itself	If this is an equity JV, the most obvious funding source is the two partners' own capital contribution, split per the equity agreement. If it's an agency arrangement, funding needs look very different — RRUP may bear more of the cost since you carry less liability. This is squarely Folder 13, Question 3.	

3. The honest funding recommendation

Start with the **Start Up Loan** application in parallel with resolving the deal structure with RRUP — it's fast, doesn't depend on RRUP, comes with free mentoring, and £25–100k is a realistic bridge for the first 6–12 months of a lean UK launch. Treat SEIS/EIS and Innovate UK as **not currently available** rather than planning around them, unless RRUP's own structure changes.

Note: if the deal turns out to be a commission/agency arrangement rather than an equity JV, your actual capital needs may be substantially lower — you'd primarily be funding your own sales/marketing activity rather than a jointly-owned operating company. Revisit this whole folder once Folder 13, Question 1 is answered.